

Unit-I

Nature of Entrepreneurship

The word Entrepreneur comes from French word *entreprendre*, which means “to undertake.” Few accepted definitions of an entrepreneur are the following:

1. In 1755 Economist Richard Cantillon defines an entrepreneur to be one who creates a new business in the face of risk and uncertainty for the purpose of achieving profit and growth by identifying significant opportunities and assembling the necessary resources to capitalize on them. Although many people come up with great business ideas, most of them never act on their ideas. Entrepreneurs do.
2. Harvard Business Professor Howard Stevenson says that entrepreneurs spot opportunities, often a better way to do something, and do not feel constrained from pursuing it because they lack resources. In fact, entrepreneurs are accustomed to making do without resources.
3. In 1991 Development Economist Joseph Schumpeter said that entrepreneurs are more than just business creators; they are change agents in society. They are business disrupters who, through the process of creative destruction, create new ideas and new businesses that make old existing ones obsolete and result in vibrant, technologically developing and growing economy.

Reasons for recent surge in startups and entrepreneurs are:

1. New developments in the field of technology and globalization have led to considerable growth in international business and competition. On the one hand, these have brought innumerable and substantial challenges for existing firms. On the other hand, these advancements have also opened new and unexplored doors of opportunities.
2. People want to leave the security of corporate hierarchy to be the master of their own destinies, create their own security and their own bosses.
3. Large corporations keep downsizing and laying off people forcing them into starting their own business.
4. Small has become beautiful. Small companies now have a competitive advantage. The fast and ever evolving technological environment has allowed small corporations to emerge as they are better suited for providing niche products, more flexible to change course and adopt technology because their smaller scale and localized operations. The evolution of internet and social media has allowed operations with lower set-up and other running costs.
5. The modern economy has moved away from industrial economy and becoming more and more a knowledge-based economy as well as a service economy. Now the most important factors of production more than machines are knowledge and

information. This favors the small business by allowing managing and transmitting knowledge at much lower cost through innovations in computing and information technology (IT).

6. Startups are being promoted by governments worldwide through training, capital and incubation assistance.
7. Entrepreneurship has become fashionable now because people like Steve Jobs, Mark Zuckerberg and Elon Musk are youth icons. Their success stories inspire billions to take up similar journeys.

Entrepreneurial Mindset

Entrepreneurs make their decisions in high-stake and highly uncertain environments, under immense pressure and high emotional investments. They need to have the following mindset to make effective decisions:

1. **Thinking structurally.**

Anyone can spot obvious opportunities involving an obvious application of a new technology and superficial similarities between elements of a technology and a target market (customer needs). Structure thinking however involve associating or matching underlying (deeper) mechanisms of a technology with underlying mechanisms of a market. For example, thinking to use a technology developed by scientists for space stations for addressing the learning difficulties for primary school children. Successful entrepreneurs have a much deeper structural understanding of technology and markets which allows them to see beyond obvious opportunities.

2. **Bricolage (or resourcefulness).**

Startup entrepreneurs often lack resources and they make the best use of whatever they have, by creatively combining available resource combination in the best way possible, towards new problems and opportunities. Bricolage is both a source of new opportunities as well as a means to exploit those opportunities successfully.

3. **Effectuation** (as opposed to causation).

Large corporations have a large amount of financial resources and usually run by managers. Their decision-making process involves causation as they first look at what they want to achieve (effect) and then decide on the best resource combination, financial resources, production and marketing strategies, and target markets (customers) needed to cause that effect. However, since small startups are short on resources. They may choose the effectuation method of reasoning to their advantage. Small entrepreneurs start with what they have (cause) and then decide on what they can achieve (effect) from among different available options, menus through experiments and trail & error. In place of choosing a specific

product and a market segment of consumers that would maximize profit objective, they choose their range of products, location, and target customers flexibly and evolvingly through continuous feedback they obtain from their customers and distribution partners. This reasoning (strategy) is called **effectuation**. Effectuation also helps entrepreneurs think and act fast in an environment of high uncertainty.

4. Cognitive adaptability.

It describes the metacognitive (higher-order thinking) ability of an entrepreneur i.e. the extent to which an entrepreneur is dynamic, flexible (adaptable), self-regulating (self-questioning and self-correcting). The entrepreneur needs to ask from himself the following type of questions:

- a. Comprehension questions like what is the new opportunity or the new market all about? Why do I want to start this new firm? What are the key elements to effectively pursue this opportunity?
- b. Connection questions like how this new opportunity or environment or organization is like and different from my past experiences?
- c. Strategic questions like which strategies (production, marketing, financial) are most apt to successfully exploit the new opportunity? What new changes in the organizational culture and structure are needed? How can we best implement the strategies required?
- d. Reflection questions like What am I doing? Does it make sense? Is there a better way?

Profile (qualities) of an entrepreneur

1. Takes **initiative**.
2. Deep desire for **responsibility** towards their venture.
3. Preference for moderate but **calculated risk**.
4. Willingness to **break the rules** and established ways. They are not adapters but **disrupters**.
5. **Self-reliance**. They wear multiple hats i.e. perform multiple roles with fewer resources.
6. **Confidence** in their ability to succeed and positive outlook.
7. **Determination** to make it big. This entails passion, persistence especially in the face of challenges and setbacks.
8. **Quality Conscious** and has desire for immediate feedback from customers and distributors. Development of **social media technology** has made it feasible and costless.
9. **High levels of energy** allowing them to work long hours when setting up a business.
10. **Competitive** behavior.
11. **Highly perceptive and has Future orientation**. They keep looking for and very quick to spot newer opportunities and trends. They keep innovating their products and methods for the needs of future.

12. Knowledgeable about markets and technology, and information seeker.
13. Excellent organization and administrative skills i.e. how to put together right people and resources for the right job; and get the job done through motivation and monitoring.
14. Value achievement over money. Their main motivation comes from having achieved success in setting up and growing a business venture.
15. High degree of commitment.
16. Tolerance for ambiguity. Entrepreneurs need to make decisions in a fast changing and uncertain environment, using often conflicting information.
17. Creative and innovative nature.
18. Desire to be continuously efficient in using resources for production, from a social as well as organizational perspective. This guides him to improve methods and products.
19. Flexibility to correct course and make transformations in the face of changing business environment. Even the goals of an entrepreneur are flexibly decided.
20. Resourcefulness. Getting hold of scarce resources and making the best out of them by cutting costs.
21. Effective strategist against competition.
22. Planner.
23. Hard working.
24. Problem solver.
25. Courageous.
26. Assertive.
27. Persuasive.

Entrepreneur vs Manager

An entrepreneur launches a new enterprise whereas a manager deals with day-to-day affairs of an on-going concern. However, the roles of entrepreneur and manager overlap in many situations. An entrepreneur starts an enterprise and uses managerial skills to implement his creative ideas successfully. Similarly, a manager applies entrepreneurial skills to manage change and innovation and to effectively deal with uncertain external environment of business. Rather than relying on a rigid and process-based routine, he should prepare himself to handle change and innovation. These differences are highlighted in tabular form and are shown in Table 2.1.

TABLE 2.1 Entrepreneur vs Manager

<i>Basis</i>	<i>Entrepreneur</i>	<i>Manager</i>
Venture	An entrepreneur starts an enterprise and runs it. He creates an organisational framework after defining its tasks and roles.	A manager works within an enterprise already set up by the entrepreneur. He operates within an existing organisational frame work.
Innovation	Entrepreneur is another name of an innovator. He always works towards finding new and more creative methods and products.	A manager being an employee of the business is more concerned with running the enterprise on established lines on a routine.

Risk-taking	An entrepreneur takes risk of economic uncertainties as he owns the business.	A manager bears no risk arising out of uncertainties. He is paid employee of the business and also a stakeholder.
Status	An entrepreneur owns the business, and thus, enjoys an independent status.	A manager being an employee of business is always more dependent upon the entrepreneur.
Reward	Profit is the reward for risk taking. However, it is always uncertain and fluctuating.	Salary and allowances are the reward for a manager. He gets a fixed salary irrespective of business profits.
Change	An entrepreneur initiates and introduces change through innovation. He is also called a <i>change agent</i> .	A manager adopts change introduced by the entrepreneur. He is instrumental in implementing and carrying forward change on routine basis.
Motivation	An entrepreneur is motivated by profits and a strong desire to bring improvements in society through innovation.	A manager is motivated by incentives and fringe benefits. His work also motivates him to perform.
Rationality	An entrepreneur's work requires imagination and creativity. Many times his day dreaming and intuition overtakes pure rational thinking.	A manager's job requires rational analysis more than imagination and creativity.

Importance (contribution, functions) of Entrepreneurs

To his own business

1. **Analyze the market opportunities and Threats:** The business environment may present many opportunities from time to time. He needs to analyze such opportunities and choose the most appealing idea at the right time for starting a new venture.
2. **Calculating and taking risk.** Risk of loss and failures are associated with any new venture. These risks are needed to be known and then a decision must be made to undertake those risks or not.
3. **Arranging financial resources and suppliers and distributors.**
4. **Preparing a Business Plan.** Preparation of the business plan is necessary to convince the potential investors and lenders (banks and other financial institutions) about the viability of the venture to get it funded as well as to provide a road map for the people working in the organization.
5. **Organization of the Venture:** The entrepreneur brings together various factors of production like capital, manpower, machinery, land and building etc. to start a venture. He needs to have skills to allocate resource in the right activities at the right time to avoid wastage and to utilize them optimally.
6. **Supervision and Control:** It is necessary to employ control mechanisms (Personal observation, reporting and other sophisticated tools) by the entrepreneur so that he may track the overall wellbeing of the enterprise.
7. **Development and Growth of the Venture:** For their success, venture require active involvement of the entrepreneur during the development and growth stage, like

delegation of the routine activities to other colleagues/ subordinates in the organization while providing strategic vision and direction to the firm as a leader.

To the economy

1. Contribution to economic growth and improvement in per capital incomes and therefore living standards of people.
2. Employment generation and implicitly poverty reduction especially if the new venture is a small, micro and medium sized company which are labor intensive in nature.
3. **Innovation**: Innovation means doing new things or doing the same things in a new manner. This leads to both technological progress as well as benefits to consumers as they get value and fulfill their needs from the new products/services.
4. Creation of demand in the economy by introducing new products.
5. Increasing productive capacity and capital formation in the economy.
6. Wiser procurement of unused and efficient utilization of scarce resources.
7. Management of risks involved in making economic investments.
8. Balancing the regional development. For their own interests, entrepreneurs don't shy away from sourcing supplies and locating production in remote and unexplored regions.
9. Improving backward and forward linkages in the economy. An entrepreneur causes a chain reaction in the economy as he needs the suppliers of products/services which are intermediates in his own production. And he may prove to be an important supplier himself for further production of important products/services by other entrepreneurs.

Types of Entrepreneurs

Entrepreneurs can be classified in different ways based on their age, gender, ethnicity, commitment, innovation contribution, background knowledge, scale of operations, motives etc. The entrepreneurs could be of the following types:

1. **Innovating entrepreneurs.**
They bring most valuable technological breakthroughs and radically new products/services in the market. They are creatively disruptive for the industry. While there are high risks in the endeavors but even higher rewards for them and the world. Examples is Elon Musk.
2. **Adaptive or imitative entrepreneurs.**
They bring incremental technological additions and minor variations in existing time-tested products, technologies, and business methods. Their activities have relatively lower risk as well as rewards for themselves and the economy.
3. **Fabian entrepreneurs.**

They are copycats, follow a “me-too” strategy and just make superficial repackaging of the old wine in a new bottle.

4. Technological entrepreneurs.

They are technologically qualified persons like scientists and engineers making commercial benefits from their inventions. They however may lack knowledge of business management and need experts from finance, organization, and marketing to assist them. Examples are Larry Page and Sergey Brin who wrote google search algorithm.

5. Individual entrepreneurs.

In contrast to large scale institutions, an individual entrepreneur starts up a small business and aims to grow in size and profits. They are characterized by being quick, flexible, fast learning and skillful.

6. Young entrepreneurs.

Those who are between age of 25 and 44. The age profile of entrepreneurs has become younger in recent decades. As many as 40% young students in US aspire to start their own business.

7. Woman entrepreneurs.

Small businesses especially have provided lot of economic opportunities to women entrepreneurs who want to break out of the gender based socioeconomic discrimination. You may also talk about role of self-help groups in women empowerment and issues women might face in a male dominated environment. Some have managed to start big businesses for example Nykaa.

8. Minority entrepreneurs.

Minority also look at owning business as a means to battle discrimination.

9. Immigrant (or emigrant) entrepreneurs.

Migration has usually taken out of India to North American and Gulf countries. In US immigrants or their children have started 40% of their Fortune 500 companies. Indians too have a significant contribution.

10. Part-time entrepreneurs.

Without losing the security of a job, some decide to venture into part time business as well. The technological innovations of internet and ecommerce has made it all much easier.

11. Home-based businesses.

Keeping cost to a minimum, running a business from home allows flexible work hours. Suitable especially for women or housemakers and facilitated by technology it is increasingly booming style of business.

12. Family businesses or Entrepreneur by inheritance

A family-owned business is one in which two or more of members of a family own the major control over the financial resources of the company. More than 80% of businesses worldwide are family owned and contribute approx. same percentage of the world GDP. The success of such businesses come from shared business values of the family members and long-term planning they can afford to do. These businesses have the following challenges though:

- a. Personal and professional relationships between family members need to remain positive and respectful.
- b. Separate responsibilities based on interests and abilities.
- c. Plans for management succession need to be made in advance.

13. Copreneurs

These are married couples who jointly run a business as co-owners. They divide the business responsibilities on the basis of respective skills, experience and abilities. The more aligned their life and business goals, the more they gel together in a business setting, the more respectful they are of each other talents, the similar their work ethic, the complementary their skills, the more defined their work and personal life boundaries, the successful they are as business partners.

14. Corporate Castoffs.

Large corporations do a lot of layoffs in times of restructuring or recession. Given experience of corporate structure and management skills, significant number of laid off workforce are forced as well as choose to start their own businesses.

15. Encore entrepreneurs.

The job insecurity from layoffs during great recessions and economic crisis in history has brought a trust gap between employers and employees breaking the value of company loyalty. As a result, lot of employees drop out even when they are not laid off. It is not about money but opportunity to control their own destiny and follow their passion. Both corporate layoffs and drop outs have a good chance of success as small startups because of their knowledge of business and management experience.

16. Serial entrepreneurs.

Their objective is to develop a business and then sell it for profit. After making a sale, he launches another enterprise to expand and sell again.

17. Social entrepreneurs.

Another classification of entrepreneurs is based on motives. A social entrepreneur is of the most desirable kind, as he makes important social and economic contributions, through innovation and value creation, with the primary motive being social change and not personal profits. Not that he does not make profits but that is not his primary objective. Example is "Mitticool."

TABLE 1.3 Commercial Entrepreneurship vs Social Entrepreneurship

<i>Basis</i>	<i>Commercial entrepreneurship</i>	<i>Social entrepreneurship</i>
Offering	New products and services.	New solutions to social problems.
Mission	Primary motive is profit making while secondary motive is creating a social impact.	Primary motive is creating a positive social input while secondary objective is profit earning.
Type of change sought	Market-related variables, i.e., consumption patterns, demand, supply, pricing or promotional elements are targeted.	Social change is brought about by changing social philosophy and dynamics.
Value creation	Innovations are converted into business opportunities. Thus, profit is earned.	Value creation is effected by fulfilling a social purpose.
Measurement of performance	Profit, market share, quality and customer satisfaction are the yardsticks for measuring performance.	Measurement of performance is difficult as it is intangible and non-quantifiable. Social impact can not be measured in quantitative terms, though it can be experienced and felt.

How to avoid business Failures

1. Know your business in depth (through search, reading and interactions with suppliers, customers, trade associations and other entrepreneurs in the industry).
2. Build a viable business model and test it.
3. User lean Start-up principles.
The cost-effective lean approach considers the entrepreneurial idea and business model as hypotheses to be tested, by providing a “minimum viable product (service)” to the customer in order to obtain the feedback from customer to improve and refine the product and the business model.
4. Know when to do course correction.
5. Develop a solid business plan.
6. Manage financial resources.
Have adequate start-up capital especially cash (flows) in place for smooth operations in place of relying on sales and profits. This is because growing startups need more cash than they generate.
7. Understand financial statements to know the condition of business at any point of time.
8. Build the right team.
9. Learn to manage people effectively.
10. Set your business apart from competition i.e. build a unique product and skill sets.
11. Maintain a positive attitude.